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الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies.

B124: Fundamentals of Accounting

Spring Semester 2024-2025

Final Exam – Version A-

Date: 11-Jun-2025

mber of Exam Pages: 5 (including this cover sheet)	**Time Allowed: 3 hours**

nstructions:

ake **FIVE (5)** minutes to read all instructions carefully before attempting to write.
Mobile phones must be in "SWITCHED **OFF"** mode throughout the examination.
his is a **CLOSED** book examination. NO documents of any kind are allowed.
ou **MUST** answer the questions using only the answer booklets provided
ou **MUST** return the examination paper together with your answer booklets.
o **NOT** write your answers in pencil except graphs/sketches
tudents are **NOT** allowed to use any type of dictionary or mobile phones during the examinatic
tudents are allowed to use ***non-programmable*** calculators only (if needed).
ny form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy

uestion 1 (40 marks)

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A- Below is the trial balance of Nour's Publishing at December 31 2020.

Nour's Publishing Trial balance as at December 31

	£	£
Trading account:		
Sales		300,000
Opening inventory	20,000	
Purchases	199,000	
Carriage inwards	2,000	
Other revenue and expenses:		
Subscription income		6,000
Rent	15,000	
Heating and lighting	14,000	
Advertising expense	5,500	
Motor expenses	6,500	
Discounts allowed	1,000	
Carriage outwards	2,000	
Balance sheet accounts:		
Equipment	25,000	
Equipment – accumulated depreciation		5,000
Motor vehicle	60,000	
Motor vehicle – accumulated depreciation		15,000
Receivables	25,000	
Allowance for receivables		1,500
Bank	18,500	
VAT liability		17,350
Payables		16,650
Bank loan		20,000
Capital		40,500
Drawings	28,500	
	422,000	422,000

The following information is relevant for the end-of-period adjustments.

1 Depreciation on the equipment is provided at 10% per annum on the straight line basis.
2 Depreciation on the motor vehicle is provided at 25% per annum on the reducing balance method.
3 Rent includes a prepayment of £3,000.
4 Advertising expense includes a prepayment of £1,500.
5 Nour estimates that £5,000 due from customers will be irrecoverable and must be written off.
6 The allowance for receivables is to be set at 4% of net receivables at 31 December 2020.
7 The bank loan is repayable in 8 years' time. Interest payable on the loan is 8% and will be paid once per year.
8 The heating bill will arrive on 10 January 2021 and about £600 is expected to relate to the period until 31 December 2020.

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9 The closing inventory at 31 December 2020 is valued at £15,000.

10 The subscription income of £6,000 received relates to the period from 1 May 2020 to 30 April 2021.

Required:

1) Make the end-of-period adjustments using double-entry bookkeeping entries without a journal narrative (15 marks)
2) Prepare the balance sheet for Nour's publishing as at 31 December 2020. Assuming the net profit for the year after adjustments is £38,250 (15 marks)

B- Errors can be classified into those that do and those that do not affect the trial balance. Errors that do not affect the trial balance means that it still balances. Errors that affect the trial balance result in a discrepancy that prevents it balancing. State Four errors of each type (10 marks)

Question 2 (30 marks)

A- Records from previous periods show the following relationship between machine hours and maintenance costs:

Machine hours	Maintenance costs
14,300	£24,500
10,400	£23,600
8,600	£23,500
16,000	£34,600

Required:

Using the high-low method

(1) Calculate the estimated variable portion of Maintenance costs per machine hour?
(2) Calculate the estimated fixed Maintenance cost each month?
(3) Estimate the total maintenance cost if the machine hours in a period 12,000 machine hours, assuming total fixed costs and variable cost per hour do not change.

(15 marks)

B- XYZ Company sells its only product for $160 per unit. Its total fixed costs are $9000 per annum. Its variable cost per unit is 75% of its selling price. The total units produced and sold during the year are 350 units.

Required

1- Compute XYZ's breakeven point in units and dollars. Prove your answer.
2- Calculate the profit earned by the company at the current level of operations (as given)
3- Compute the total fixed costs of the company if BEP (units) is 300 units and the selling price per unit and variable cost per unit remain unchanged. (15 marks)

Question 3 (30 Marks)

A- Southwestern Company needs 1,000 motors in its manufacture of

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automobiles. It can buy the motors from Jinx Motors for $1,250 each. Southwestern's plant can manufacture the motors for the following costs per unit:

Direct materials	$ 500
Direct manufacturing labor	250
Variable manufacturing overhead	200
Fixed manufacturing overhead	350
Total	$1,300

If Southwestern buys the motors from Jinx, 70% of the fixed manufacturing overhead applied will not be avoided. **(15 Marks)**

Required:

1- Should the company make or buy the motors? **(12 Marks)**
2- What additional factors should Southwestern consider in deciding whether or NOT to make or buy the motors? **(3 Marks)**

B- Nour Company manufactures and sells sports products. It wants to prepare cash budget for the second quarter of the year 2022 (April, May and June). It has estimated the following information:

(1) Sales **(in $)**

Information	March	April	May	June
Total Sales ($)	100,000	160,000	200,000	240,000
Cash Sales	30,000	48,000	60,000	72,000
Credit Sales	70,000	112,000	140,000	168,000

(2) Credit sales are collected as follows:
60% in the same month of sale
30% in the month following sale
10% in the second month following sale

(3) Cash balance on 1st April is expected to be $ 40,000

(4) Other cash outflows (cash expenses) for the second quarter will be as follows:

April ($)	May ($)	June ($)
35,000	27,000	29,000

(5) Cash Purchases for the second quarter (paid in the same month) is as follows:

April ($)	May ($)	June ($)
100,000	120,000	150,000

Required

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(1) Prepare the cash collection schedule (Cash and Credit) for the second quarter [Apr – June] (7 marks)

(2) Prepare the cash budget for the second quarter [Apr – June]. (8 marks)

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